

Ifo joins the string of weak surveys as drag from Iran war grows

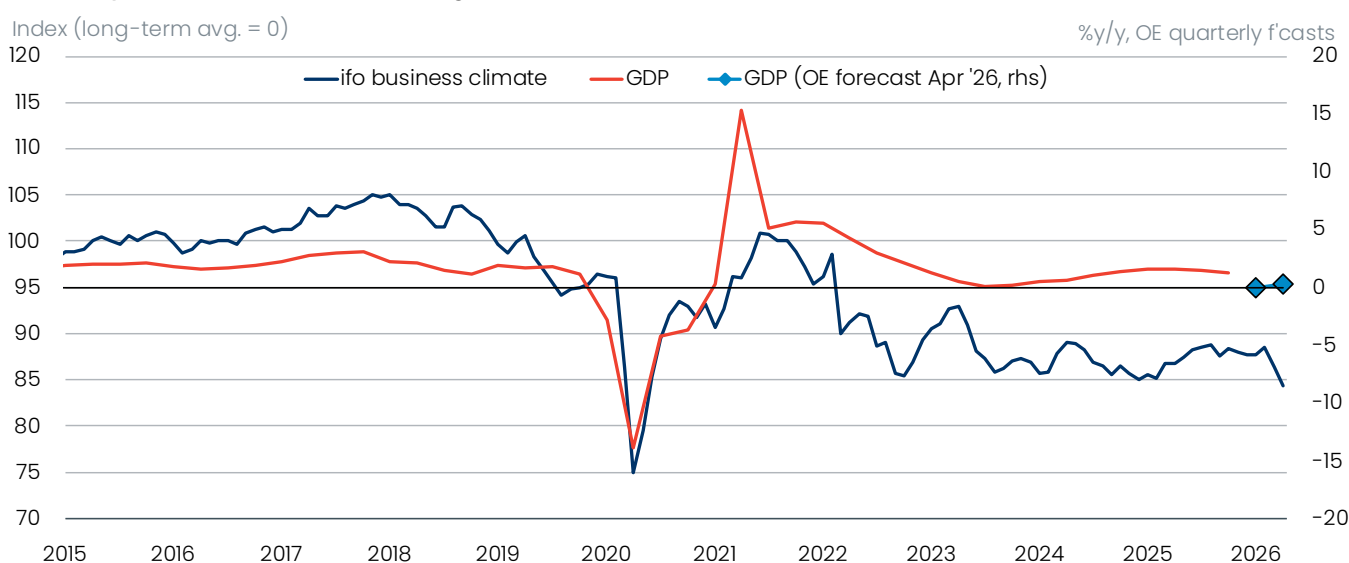
- The ifo index for Germany continued its descent in April with sentiment among German firms the weakest since May 2020. Both current assessment and expectations kept worsening at the start of Q2 indicating that the drag from higher energy prices increasingly weighs on the economy and its near-term outlook.
- Today's downbeat ifo print joins a growing body of soft survey evidence pointing to a rising drag to activity in Germany and the wider Eurozone as we enter Q2. While we acknowledge gloomy surveys could overstate the extent of the near-term hit, they reaffirm downside risks to our GDP growth forecasts for Q2.
- French consumer confidence data showed a sharp, broad-based deterioration driven by the weaker economic outlook amid a surge in inflation expectations and softer spending intentions. This points to downside risk to our French consumption growth forecast of 0.5% y/y for this year.

The ifo index for Germany continued to deteriorate at the start of Q2, falling by 1.9pts to 84.4 in April as the energy crisis is increasingly weighing on the economy. Worsening expectations, down 2.6pts to 83.3 – the gloomiest since August 2023 – remained the key drag, although the assessment of current conditions faltered too. The deterioration was relatively broad-based across sectors, although the assessment of current conditions in construction, trade and services saw much deeper falls relative to manufacturing.

Downbeat ifo print reinforces signals from other forward-looking surveys that economic momentum in Germany and the broader Eurozone is deteriorating as we move into Q2. Indeed, it joins gloomy [ZEW index](#) and in particular yesterday's [PMIs](#) both pointing to a growing drag of higher energy costs on activity, particularly in services.

Chart 1: Ifo index kept deteriorating at the start of Q2, pointing to downside near-term risks

Germany: Business climate and GDP growth



Sources: Oxford Economics, Haver Analytics

While manufacturing activity appears to have been temporarily supported by frontloading of orders, likely reflecting firms bringing forward production in response to cost and supply uncertainties, we expect this to prove short-lived as the drag from higher energy costs mounts.

Although we maintain the view that the fall in sentiment is likely overstating the extent of the near-term slowdown in real activity, another weak survey reading nonetheless tilts the balance of risks to the downside, increasing the likelihood that our German GDP growth forecast of a marginal 0.1% q/q expansion in Q2 may still prove too optimistic.

Today we also received French consumer confidence data for April which pointed to a sharp deterioration in household sentiment as the composite index fell by 5pts to 84, the weakest outturn since May 2023. Survey details show that the decline was broad-based: households' financial situation expectations weakened markedly amid weaker economic outlook and the sharpest monthly pick-up in inflation expectations in 40 years bringing it to the highest level since the heyday of the energy crisis in early 2022. Intentions to make major purchases declined but this was not matched by a corresponding rise in savings intentions. Elsewhere, concerns around unemployment edged higher, but were still below prints seen in H1 2025.

We expect French consumption to advance by 0.5% y/y this year. While this is around half of what we expected before the reignition of the Iran war, continued deterioration in consumer sentiment would pose a downside risk to our call.